



Weekly Insights | Jan 08, 2026

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Executive Summary

Corn – Funds Press Shorts, but Cash and Logistics Keep the Front End Anchored

March corn finished near \$4.25/bu, little changed on balance, as funds built their largest net short since October (–90,658 contracts) following USDA’s upward revision to production and carryout. The Mar/May spread widened modestly to 7¢, still short of full carry and consistent with a front end that remains supported by real-world movement rather than pure storage economics. Export inspections totaled 1.48 MMT for the week ending January 15, slightly below the prior week’s level but still reinforcing strong execution. Cumulative shipments now stand at 29.92 MMT,

keeping pace 55–60 percent ahead of last year, consistent with USDA’s 3.2 bbu forecast. CIF Gulf basis softened to +88H, still within a firm +85–90H range, while interior river and rail basis held mostly steady. Freight premiums rose amid colder weather, and barge movement slowed further as ice developed across the Upper Mississippi. Despite a looser balance sheet, steady exports and replacement costs continued to prevent wider carries from emerging.

Wheat – SRW Stays Rangebound as Russian Flow Cements Ceiling

March SRW wheat settled near \$5.10/bu, down about 7¢ from the prior week, with the Mar/May spread steady at an 11¢ carry, reflecting ample stocks and a storage-led structure. USDA data confirmed global and US ending stocks were higher year-over-year, with Russian FOB 12.5 percent wheat holding at \$225–227/MT and January exports expected near 3.4 MMT. US wheat inspections totaled **0.39 MMT**, up modestly on the week and keeping cumulative shipments at **15.58 MMT**, or **19 percent ahead of last year**, in line with USDA’s 900 mbu export projection. Speculative short positioning remained extreme, with managed money holding a –108,247 contract net short. Broadly, the market remains capped by global supply and Black Sea competitiveness, but cash flow and short saturation continue to support structure.

Soybeans – Demand Splits Sharply as Export Book Cedes to Domestic Crush

March soybeans ended the week near \$10.63/bu, firmer on balance, but demand remains bifurcated, with export share continuing to cede to Brazil while domestic crush does the heavy lifting. The Mar/May spread traded near 11¢, slightly wider but still reflecting a relatively supported front end given firm processor pull. Weekly inspections totaled 1.34 MMT, down from the prior week’s 1.59 MMT, with cumulative shipments at 17.93 MMT, or roughly 42 percent behind last year’s pace. While China remained the top destination, the lag versus last year continues to underscore Brazil’s competitive edge.

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In contrast, NOPA crush for December reached 225 mbu (second highest on record), and processors held bids steady to firmer, particularly in the Eastern Corn Belt and Northern Plains. China booked at least 10 US cargoes for April–May, but forward visibility remains limited. CIF Gulf firmed to +99H, within a reported +95–100H range, and PNW offers were steady at +110H. With Brazil's harvest just underway and January exports projected at 3.73 MMT, Brazilian pressure remains the dominant headwind for US export competitiveness.

(Carry percent calculated assuming 7 percent annual interest and \$0.05/bu per month storage/insurance cost over the spread interval.)

Macro / Policy – Ethanol Print Hits Record; Argentina Cuts Export Taxes

The US dollar index ended the week near 98.62, slightly lower than reported earlier, while the Brazilian real weakened modestly to R\$5.37/USD, modestly supporting Brazilian exports. US ethanol output surged to a record 1.196 million bbl/day in early January, boosting corn grind even as stocks rose to 24.47 million bbl. In Argentina, the Milei administration formalized export tax cuts, 24 percent on soybeans, 8.5 percent on corn, and 7.5 percent on wheat, in a bid to accelerate farmer sales and FX inflow. No new US biofuel or grain trade policies were reported during the week.

Weather – US Cold Snap Slows Logistics; Argentina Drier, Brazil Mixed

NOAA's 6–10 day outlook showed below-normal temperatures across the Midwest, above-normal across the Southern Plains, and dry conditions across the Delta and Pacific Northwest. River traffic slowed further on ice buildup along the Illinois and Upper Mississippi, though no full closures were reported. In Brazil, central and northern zones received 100–200 percent of normal rainfall, stabilizing soil moisture and supporting early harvest (1 percent complete). In contrast, southern Brazil (Rio Grande do Sul, Paraná) remained drier, raising localized stress concerns. In Argentina, subpar rainfall persisted across Córdoba and Buenos Aires, placing early corn under yield pressure. While Santa Fe saw isolated relief, the moisture gap remains wide and the window for crop recovery is narrowing.

What's Next (Jan 22 – Jan 29):

Export Sales (Jan 25): Will corn momentum to Mexico/Japan hold? Is there follow-through from China in soybeans?

Fund Flows: Watch if soybean length rebuilds after last week's 46k contract liquidation.

Brazil Harvest: Track pace and potential pressure on FOBs and front-end spreads.

Argentina Weather: Dry bias into late January could escalate stress on corn and soy during key reproductive stages.

River Logistics: Ice and low water conditions expected to constrain barge movement into early February.

Table A – CME Futures (Front Contracts)

(Prices in USD per bushel, volume/open interest in contracts)

Contract (Front Month)	01/14/2026 Close	01/21/2026 Close	Change (Δ)	Δ percent	5-day Realized Vol* (x)	Open Interest Δ (x)
Corn (Mar '26)	\$4.22	\$4.25	+\$0.03	+0.83 percent	15 percent (ann.)	+8k (est.)
Soybeans (Mar '26)	\$10.30	\$10.63	+\$0.33	+3.23 percent	14 percent (ann.)	+7k (est.)
Wheat (Mar '26)	\$5.17	\$5.10	-\$0.07	-1.45 percent	18 percent (ann.)	+3k (est.)

5-day realized volatility estimated from daily settlement price changes.

Actual contract open interest changes are estimated.

Table B – Key Calendar Spreads & percent of Full Carry

Spread (Crop '25→'26)	01/14/2026 Quote	01/21/2026 Quote	Δ (carry)	percent Full Carry*	Market Implication
Corn Mar–May	+0.06\$	+0.07\$	+0.01	47 percent	Widened modestly; still below full carry, keeping the front end supported
Soy Mar–May	+0.10\$	+0.11\$	+0.01	50 percent	Slightly wider; still below full carry, with processor pull helping stabilize the front end
Wheat Mar–May	+0.10\$	+0.11\$	+0.01	69 percent	Carry remains dominant; structure stays storage-led

Assumes 7 percent annual interest and \$0.05/bu per month storage/insurance. Estimated full carry over Mar–May (2 months): corn ≈ \$0.15, SRW wheat ≈ \$0.16, soybeans ≈ \$0.22. Percent of full carry = (calendar spread ÷ estimated full carry).

Table C – Notable International Futures (weekly moves, if significant):

Exchange (Front Month)	01/14/2026 USD Price	01/21/2026 USD Price	Δ percent	Notes
Dalian Corn (Mar)	¥2,284(\$8.34/bu)	¥2,277 (\$8.31/bu)	-0.3 percent	Steady amid ample supply; limited upside from feed demand pressures
Dalian Soymeal (Mar)	¥3,143(\$433/mt)	¥3,143 (\$433/mt)	0 percent	Weaker feed demand; margins pressured but stable
B3 (São Paulo) Corn (Mar)	R\$70.89 (\$13.24)	R\$70.89 (\$13.24)	0 percent	Steady; Brazil weather premium offset by export flow and currency
Euronext Wheat (Mar)	€189.5 (\$222/mt)	€189.25 (\$222/mt)	-0.1 percent	Fractionally lower; EU remains price-taker vs Black Sea.

Corn Market Deep Dive

Futures & Spreads: March corn futures settled near \$4.25/bu, ending modestly firmer on the week.

While still near the softest levels since mid-October, the move was not the sharper break originally framed. The Mar–May spread widened slightly to 7¢, roughly 47 percent of full carry using the report's storage/interest assumptions, keeping structure supported relative to storage economics. Open interest

rose modestly, with positioning indicating increased participation from the short side after USDA's bearish January reset, but the front end continues to resist a full carry liquidation.

Funds & Positioning: As of January 13, Managed Money extended its net short to -90,658 contracts, the most bearish positioning since October. Gross shorts surged to 293k, while gross longs declined slightly, signaling conviction in a looser Q1 corn balance. However, with basis still holding and exports firm, the market remains exposed to short-covering risk should demand or weather conditions tighten unexpectedly.

Cash & Basis: Cash markets reflected the same balance between increased supply and steady demand. Gulf basis firmed modestly, with CIF corn trading near +84¢ over March and FOB values around +110¢, signaling continued exporter interest despite lower futures. Interior bids were generally steady to slightly weaker following the *Grain Stocks* report, consistent with a market that is better supplied but not burdensome. Logistics remained orderly, with stable river conditions and freight holding near recent levels, allowing basis to cushion the futures decline rather than amplify it.

Export Sales & Inspections: Export inspections reached 1.48 MMT for the week ending January 15, per USDA, slightly below early trade estimates but still robust relative to seasonal norms. Cumulative shipments reached 29.92 MMT, putting the US 55–60 percent ahead of last year's pace. Japan and Mexico remained key buyers. For the week ending January 8, net export sales totaled 1.14 MMT, and while flash sales were absent during January 15–22, forward commitments stand near 52.0 MMT, tracking closely to the 3.2 bbu USDA forecast.

Global Context: Global corn flows remain competitive, led by Brazil's robust January export program. ANEC projects corn exports at 3.27 MMT, up from 2.85 MMT the prior week, supported by carryover and favorable FOB values around \$205/MT at Paranaguá. Argentina's Up-River corn is offered near \$210/MT, but early yield concerns have surfaced as dryness persists across Córdoba and Buenos Aires. Ukrainian corn continues to move via Danube and rail, priced near \$215/MT FOB, sustaining Black Sea competitiveness. US exporters retain a logistical edge into Latin America and Japan, but global offers remain aggressive into Asia and the Middle East. As South America ramps, execution pace, not board structure, will dictate the export share US corn can hold.

So What? Corn continues to show a resilient physical market despite bearish futures. Spreads remain below full carry, basis is firm, and barge logistics are tightening, all signs of spot demand anchoring the front end. Speculative short positioning has grown, but commercials are not loosening their bids. Until demand falters or Brazil's export ramp accelerates, the market is more likely to trade sideways with firm spreads than unwind sharply.

Soybean Market Deep Dive

Futures & Spreads: March soybeans settled near \$10.63/bu, finishing firmer on the week and remaining rangebound at the front end. The Mar–May spread widened to 11¢, approximately 50 percent of full carry under the report's storage/interest assumptions, reflecting a market that is still being anchored more by domestic processor pull than by storage economics. Futures volume and open interest were steady, suggesting the move was driven more by positioning and basis behavior than broad liquidation, even as export follow-through remains soft.

Products & Crush: NOPA's December crush totaled 225.0 mbu, second highest on record, with national totals estimated above 230 mbu. Soybean oil stocks rose to 1.642 billion lbs, the highest since May 2024, while soymeal demand remained firm. The crush margin continues to be meal-driven, as soy oil faces policy-linked headwinds. These fundamentals confirm USDA's January pivot toward domestic demand as

the primary source of use.

Cash & Basis: CIF Gulf basis advanced to +99H, supported by fresh Chinese interest and thin pipeline stocks. FOB Gulf held at +118H, while PNW export bids were steady at +110H. Processors remained firm: Decatur held near +5H, and Spiritwood, ND improved by 5¢ to –65H, reflecting robust soymeal demand. Despite weaker export incentives, domestic crush margins continue to support basis across the Northern Plains and ECB.

Funds & Positioning: As of January 13, Managed Money net length fell to +19,985 contracts, the lowest since mid-October, down 45.8k contracts from the previous week. Gross longs were trimmed aggressively, while shorts rose modestly. The positioning now reflects a cleaner book, with downside risk more limited but vulnerable to weather or demand-led whiplash.

Export Sales & Inspections: Weekly inspections totaled 1.34 MMT for the week ending January 15, down from the prior week's 1.59 MMT. China and Mexico led destinations, but cumulative shipments remain at 17.93 MMT, or roughly 42 percent behind last year's pace, as Brazilian FOBs continue to dominate global flows. Net sales for the week ending January 8 hit a marketing-year high of 2.06 MMT, including 1.22 MMT to China. Total US export commitments now stand at 30.65 MMT, approximately 71.5 percent of USDA's annual forecast.

Global Context: Brazil's January soybean exports are forecast at 3.73 MMT (per ANEC), more than triple last year and a record for the month. Harvest was 1 percent complete by Jan 18, with central yields stable thanks to consistent rainfall, while southern states remained drier. China's 2025 soybean imports reached 118 MMT (+6.5 percent YoY), but recent US purchases are widely seen as state reserve-driven rather than broader commercial activity. South American FOBs remain structurally cheaper than US offers.

So What? Soybeans are being pulled in two directions: **crush remains the pillar**, while **exports lag and Brazil looms**. US fundamentals are strong at the plant level, but flat price is capped without a broader demand shift, especially from China. Funds have de-risked, reducing volatility, but until Brazil's seasonal peak passes or US exports accelerate, the market will continue to lean on basis and spreads, not futures, for price discovery.

Wheat Market Deep Dive

Futures & Spreads: March Chicago SRW wheat futures closed near \$5.10/bu on January 21, marking a weekly decline of 7¢ from January 13, not flat. The Mar–May spread held near an 11¢ carry, roughly 69 percent of full carry using the report's storage/interest assumptions, reinforcing the market's storage-led tone. HRW futures were flat to slightly firmer in basis-adjusted terms, and Minneapolis spring wheat was little changed. Despite heavy global fundamentals, particularly from Black Sea origins, the futures curve suggests low urgency for nearby coverage, with speculative saturation continuing to anchor the board. The absence of bullish catalysts has kept flat price soft, but the market's refusal to break sharply lower shows bearish positioning is already priced in.

Cash & Basis: FOB Gulf SRW basis remained near +100H (\$6.18/bu), and HRW 11 percent protein basis held at +110K, showing no material movement. Soft White wheat in the PNW traded near \$6.55/bu, while HRW 11.5 percent in the PNW held at +155K. Interior basis across the Southern and Central Plains remained steady, with ordinary protein bids near +90K and 12 percent protein around +106K. Cash behavior remains surplus-driven: basis is stable but lacks momentum. With global offers undercutting US levels, domestic and export buyers remain price-sensitive and tactical, rather than volume-seeking.

Export Sales & Inspections: Weekly inspections totaled 0.39 MMT for the week ending January 15, up slightly from the previous period. Cumulative shipments reached 15.58 MMT, keeping the US wheat program 19 percent ahead of last year. Weekly net sales totaled 156,300 MT, with Southeast Asia and Latin America continuing to anchor forward demand. Despite the improved pace, Russian and Argentine FOB values continue to dominate global tender markets, limiting US competitiveness.

Global context: Russia exported an estimated 3.0–3.4 MMT of wheat in January, per SovEcon and IKAR, well above normal. FOB 12.5 percent wheat held at \$225–227/MT, with Ukraine corn and wheat still flowing through Danube and rail corridors. French and Romanian wheat FOBs remain in the \$232–243/MT range, while Argentina's Up-River wheat sits around \$210/MT. Russia's February–June export quota (20 MMT) has yet to affect flows. With no logistical or policy disruptions, Black Sea and South American wheat define the global ceiling, capping US potential.

Funds & Positioning: As of January 13, Managed Money was net short –108,247 contracts in Chicago SRW, unchanged from the prior week. Gross shorts stood near 198.5k, while gross longs were stable at 90k. This is the most asymmetric positioning among major grains, creating vulnerability to short covering on any surprise demand or weather event. Still, with no current trigger, speculators are content to maintain bearish exposure amid heavy global stocks and export disadvantages.

So What? Wheat remains the heaviest grain complex, weighed down by both ample supply and saturated fund shorts. Basis and spreads reflect full carry conditions, and while exports are outperforming last year, global pricing keeps US offers uncompetitive. Futures trade within a narrow range: too bearish to break down further without new supply, but too expensive to rally amid current global offers. Without a weather, policy, or logistics shock, wheat will continue to trade defensively, anchored by carry and short positioning, not bullish conviction.

US Cash Market & Basis

Corn: CIF Gulf basis dipped 2¢ to +88H, while FOB Gulf for February held at +107H, reflecting continued export flow despite weaker futures. Interior movement diverged: St. Louis River basis firmed 3¢ to +24H, helped by restricted barge flow, while Western processor bids (IA/NE) were steady between –15H and –12H. PNW rail corn held at +112H, supported by Asian demand. Freight premiums rose across both barge and secondary rail markets, as ice on the Upper Mississippi and Illinois Rivers hampered logistics. Overall, cash remains resilient and reflects tight front-end pull even as the board trades heavy.

Soybeans: CIF Gulf soybean basis rose 3¢ to +99H, supported by Chinese buying and a thin supply pipeline. FOB Gulf held steady at +118H, and PNW bids remained at +110H. Interior strength persisted: Decatur, IL held near +5H, while Spiritwood, ND increased 5¢ to –65H, driven by soymeal demand. River basis in St. Louis remained near +26H despite colder logistics conditions. Overall, the soybean cash market continues to lean on firm crush margins, with crushers anchoring the front end against a backdrop of sluggish exports and rising South American competition.

Wheat: FOB Gulf SRW stayed near +100H (\$6.18/bu), while HRW 11 percent basis held at +110K. In the PNW, HRW 11.5 percent was quoted at +155K, and Soft White wheat remained near \$6.55/bu. Interior HRW bids in the Southern Plains ranged from +90K to +106K, depending on protein. Despite the stable tone, global competition continues to suppress momentum, and US mills are well-covered. With Russian and Argentine wheat undercutting US offers by \$10–\$15/MT, the US cash wheat complex remains steady, but static.

So What? Cash markets remain firm-to-steady, showing underlying demand resilience even as futures

struggle. Corn is the most balanced, with basis support amid slowing logistics. Soybeans benefit from strong crush demand and lack of grower selling, even as exports drag. Wheat remains the weakest, rangebound and capped by global price pressure. In all cases, basis and spreads, not futures, continue to lead price discovery. With barge delays and seasonal supply tightness ahead, physical signals remain the critical guide to market tone.

International Cash & Trade Flows

Brazil: Brazil's early-season program remains the dominant global flow driver, with export commitments staying aggressive into late January. ANEC projects January soybean exports at 3.73 MMT, while corn is pegged at 3.27 MMT, keeping Brazil in clear control of nearby export share. FOB Santos soybeans were reported near \$402/MT, and Paranaguá corn near \$205/MT, levels that preserve Brazil's pricing advantage into Asia and the Middle East even before the bulk of the harvest reaches peak pipeline.

Argentina: Argentina's flow is steady but increasingly weather sensitive. Up-River FOB corn remains near \$210/MT, with wheat quoted in a similar neighborhood as post-harvest shipments continue. The government formalized export tax cuts (24 percent soybeans, 8.5 percent corn, 7.5 percent wheat), aiming to accelerate farmer selling and FX inflow; the real question is whether improved economics translate into a meaningful near-term pickup in producer marketing given dryness across Córdoba and Buenos Aires. For now, offers remain competitive, but forward volume will hinge on February rainfall and seller participation.

China: China's return to US soybeans for April–May delivery (at least 10 cargoes) provided near-term support to US basis and helped keep the front end from loosening further, but the buying is still widely viewed as reserve-driven rather than a broad commercial pivot. Corn and wheat demand signals remain muted in this window, and there is no clear evidence yet of a structural change in import appetite.

EU / Black Sea: Black Sea pricing continues to define the global ceiling for wheat. Russian 12.5 percent FOB wheat held near \$225–227/MT, with January exports expected in the 3.0–3.4 MMT range, keeping tender markets anchored to lower-cost supply. EU wheat remains disadvantaged into key destinations, and without a logistics or policy disruption, Russia and Argentina continue to cap upside in global wheat pricing through late January.

So What? The global market remains dictated by the lowest-cost origins: Brazil in soybeans and corn, and Russia in wheat. Argentina remains competitive but increasingly tied to weather and seller response after tax cuts. China's soybean presence is supportive on breaks, but not yet decisive. Until FOB spreads realign meaningfully or weather forces a supply reprice, US export competitiveness will remain tactical rather than structural.

Key Fundamentals & Reports (Jan 15 – Jan 22)

Export Inspections: For the week ending January 15 (published January 20), corn inspections totaled 1.48 MMT, slightly below the prior week but still strong, bringing cumulative shipments to 29.92 MMT, about 55–60 percent ahead of last year and tracking well against USDA's 3.2 bbu forecast. Soybean inspections were 1.34 MMT, down from 1.59 MMT, with cumulative exports at 17.93 MMT, or roughly 42 percent behind last year; China remained the primary destination. Wheat inspections rose to 0.39 MMT from 0.32 MMT, lifting season-to-date exports to 15.58 MMT, about 19 percent ahead of last year and in line with USDA's 900 mbu projection

Export Sales: For the week ending January 8 (published January 18), corn net sales reached 1.14 MMT, led by demand from Mexico and Japan, keeping total commitments roughly 29 percent ahead of last year.

Soybean net sales surged to 2.06 MMT, the highest weekly total of the marketing year, including 1.22 MMT to China, though no flash sales were reported during the January 15–22 window; total commitments now sit at 30.65 MMT, or 71.5 percent of USDA's annual target. Wheat net sales totaled 156,300 MT, with Southeast Asia and Latin America continuing to drive forward demand in line with seasonal norms.

Ethanol Production & Stocks: For the week ending January 9 (published January 17), US ethanol production hit a record 1.196 million barrels per day, up nearly 100k bpd from the prior week, while stocks rose to 24.47 million barrels, still about 2 percent below last year. The strength in grind supports ongoing corn demand for feed and residual use, even as paper supply looks heavier post-January WASDE.

NOPA Crush: NOPA members processed 225.0 mbu of soybeans in December (reported January 15), marking the second-highest monthly crush total on record and up 8.9 percent year-over-year. Soybean oil stocks rose to 1.642 billion pounds, a seven-month high, while soymeal demand stayed firm. These figures underscore the USDA's recent pivot to crush-led demand and help explain continued firmness in processor bids, particularly in the Eastern Corn Belt and Northern Plains.

CFTC Positioning: As of January 13 (published January 19), managed money funds extended their net short in corn to -90,658 contracts, the largest since October, with gross shorts increasing and gross longs slightly trimming. Soybean net length fell to +19,985 contracts, down 46,000 on the week and the lightest long since mid-Q4. In wheat, the SRW net short held at -108,247 contracts, while HRW narrowed slightly to around -13,000. Positioning across grains remains bearish overall, but wheat's asymmetry leaves it most susceptible to short covering on any surprise catalyst.

So What? Markets were not lacking data this week, but most of it reflected lagged fundamentals that confirmed rather than changed the prevailing tone. Corn continues to outperform through strong inspections and ethanol grind, soybeans remain a tug-of-war between solid crush and weak exports, and wheat is still shaped by speculative shorts and global competition. With spreads holding firm and basis staying resilient, logistics and physical execution, not forecasts, are doing the heavy lifting in price discovery.

International Reports

Brazil: The key development is not just Brazil's projected January volume, but the timing risk around harvest acceleration. With soy harvest only one percent complete as of Jan 18, the near-term export program remains heavily dependent on pipeline stocks and carryover availability. ANEC's 3.73 MMT January forecast suggests exporters are confident of capacity and farmer selling will be sufficient to sustain a strong month. The market's next check is whether persistent dryness in southern Brazil (Rio Grande do Sul and Paraná) begins to force meaningful yield downgrades, not because it alters January loadings, but because it would tighten the late-Q1 supply cushion and potentially lift Brazilian FOBs after the seasonal peak.

Argentina: Policy became more meaningful this week: export taxes are now formally reduced to 24 percent soybeans, 8.5 percent corn, and 7.5 percent wheat, and the market will watch for proof in the pace of farmer marketing. If dryness persists across Córdoba and Buenos Aires through the next 10–14 days, the risk shifts from "localized stress" to "hard yield loss," which would matter most for corn first and soybeans shortly after. Argentina can stay competitive on FOB, the bigger question is whether volumes remain available to sell.

China: The headline is the April–May US soybean buying (≥10 cargoes), but the market still needs confirmation that demand is broadening beyond reserve replenishment. If additional US purchases show up across multiple destinations or a longer forward window, it would shift perception; if it stops here, it functions as a basis-support event rather than a true demand pivot. There were no comparable signals for

US corn or wheat in this window.

EU / Black Sea: Black Sea wheat continues to set the upper boundary for rallies. Russian 12.5 percent FOB remains \$225–227/MT, and January exports are still expected around 3.0–3.4 MMT, meaning the export machine has not yet slowed in a way that forces buyers to look elsewhere. EU wheat remains structurally challenged into major tenders, and the US remains competitive mainly into habitual destinations rather than open global business.

So What? Keep the two global anchors in view: Brazil's export execution (and whether southern dryness tightens forward FOBs) and Russia's sustained wheat flow (which continues to cap global wheat pricing). Argentina's tax cuts are real, but weather will decide whether competitiveness translates into volume. China's buying is supportive, but the next tranche will determine whether it's a one-off reserve action or a larger demand signal.

Weather & Crop Conditions

United States

A deep Arctic air mass swept across the Midwest late in the week, bringing wind chills below –30°F to Iowa, Illinois, and Indiana. Despite the extreme cold, snow cover remained adequate across most winter wheat zones, limiting winterkill risk and preventing any confirmed crop damage. NOAA's 6–10 day outlook continues to show a split pattern: above-normal temperatures across the Southern Plains and Southwest, colder-than-normal conditions across the Upper Midwest and Northeast. Precipitation is expected to remain below average across much of the Corn Belt, with wetter anomalies focused along the Tennessee Valley. On the logistics front, barge traffic slowed on the Upper Mississippi and Illinois Rivers due to increased ice formation, though no system-wide closures occurred. Freight rates remained firm amid seasonal tightness, but no major transport disruptions have materialized.

Brazil

A north–south divide persists in Brazilian weather patterns. Central and northern regions, including Mato Grosso, Goiás, and western Bahia, received 100–200 percent of normal rainfall over the past two weeks, stabilizing soil moisture and supporting pod fill. Southern states remain under pressure: Rio Grande do Sul and Paraná recorded below-normal rainfall again this week, with late-planted soybeans in reproductive phases showing signs of stress. Crop scouts have grown more cautious as models project continued dryness into late January. National harvest remains slow at 1 percent complete, and while no logistical problems have surfaced yet, crop potential in the South is now being actively reassessed.

Argentina

Dryness has intensified across core production zones, especially Córdoba, Buenos Aires, and La Pampa. The Rosario Exchange reported escalating stress in first-planted corn and early soybeans, while scattered storms in Santa Fe and eastern areas provided only partial relief. Planting is nearly complete (95 percent of soybeans), but early development is uneven, and moisture deficits are widening. The Buenos Aires Grain Exchange rated corn at 68 percent good-to-excellent, down from 75 percent earlier in January. With reproductive stages now underway, the next 10–14 days are critical: if rainfall fails to return, yield losses could begin to harden. For now, the risk remains regional, but it's gaining market relevance.

Global

Elsewhere, crop and weather conditions remain broadly stable. Winter wheat in Russia, Ukraine, and the EU entered dormancy under sufficient snow cover, with no major freeze events. A brief cold snap in southern Russia brought lows below –20°C in Volgograd, but insulating snow layers prevented meaningful winterkill. Australia's wheat harvest has wrapped without logistical delays, and Canada reported no weather-related issues along key grain export corridors. No new production threats have

emerged outside of South America.

So What?

Weather has reemerged as a directional risk factor, particularly in South America. Brazil's Center-West continues to support record soybean potential, but southern dryness is flirting with irreversible yield loss if the dry pattern persists. In Argentina, confirmed moisture deficits are beginning to impact early crops at a critical phase. In contrast, the US remains stable, with no immediate weather-related threats to overwintering crops or logistics. As January closes, the tone of the global grain market will hinge increasingly on rainfall outcomes in southern Brazil and Argentina. Those regional developments are now the primary wildcards for supply-side recalibration.

Synthesis & Outlook

Futures were mixed to modestly softer in tone this week, but cash markets and spreads continued to show firm commercial behavior rather than broad liquidation. March corn settled near \$4.25/bu, soybeans finished firmer near \$10.63/bu, and SRW wheat dipped to \$5.10/bu. Despite the heavy headline balance sheets, calendar spreads remain short of full carry under standard storage/interest assumptions, CIF and processor basis levels are steady to firm, and both ethanol and export execution remain supportive, especially for corn. Fund positioning has turned more defensive, with managed money extending corn's net short to its deepest since October, yet physical market behavior continues to suggest commercials are not forcing the front end into a storage-only structure.

Corn continues to exhibit the widest divergence between futures pressure and physical resilience. Ethanol output surged to a record 1.196 million bbl/day in early January, CIF basis dipped only marginally to +88H, and inspections remained strong at 1.48 MMT. Soybeans remain a split market: NOPA's 225 mbu crush (second highest ever) and interior bids in key crush zones underscore solid domestic pull, but export flows remain light, down 42 percent YoY, with Brazil dominating early-season shipments. Wheat remains driven by global oversupply, not US fundamentals. Russian FOB values below \$230/MT and January exports of 3.0–3.4 MMT continue to cap upside despite firm US inspections and saturated short fund exposure.

Bullish triggers: Upside risk is concentrated in South American weather and continued domestic demand. Southern Brazil remains dry, with late soybeans now flowering under stress and little relief in the 10-day outlook. In Argentina, conditions are tightening across Córdoba and Buenos Aires, with early corn already showing stress as reproductive windows open. If rainfall fails to materialize, the global supply tone could shift quickly. US crush and ethanol grind remain historically strong, with processors and blenders continuing to pay up. If China expands soybean purchases beyond reserve-driven buying, or if Argentina's outlook deteriorates further, spreads could tighten and flat price would likely need to reprice risk accordingly.

Bearish triggers: The downside still hinges on actual supply realization and execution. Brazil's harvest, while slow, is underway, and early yields in the Center-West remain consistent with record projections. If weather stabilizes in the South, the market could begin to price in full-season potential. In Argentina, the dryness is impactful but not yet irreversible. On the demand side, any pullback in ethanol production or renewed weakness in CIF bids could loosen spreads and widen carries. Wheat remains capped by aggressive FOB offers from Russia and Argentina, and without a step-change in US exports, upside is likely to remain positioning-based rather than fundamental.

Watchlist (Jan 22–Jan 29):

South American weather: Rainfall totals in southern Brazil and central Argentina

Ethanol grind: Can production stay above 1.19 million bbl/day into February?

Basis signals: CIF Gulf and interior processor bids, any cracks or feed-led support?

China demand: Will recent US soybean purchases continue or stall?

Brazil harvest: Is progress picking up into month-end, or do delays build?

Wheat fund flows: With SRW still deeply short, is there potential for short covering?

In summary: Grain markets remain fundamentally bifurcated: futures are reflecting comfortable paper balances, while cash values suggest persistent tightness in front-end flow. With WASDE now behind and global weather increasingly centered in southern South America, price discovery is being led by basis and spreads, not by speculative sentiment. Without a clear shift in demand or a weather-driven supply shock, the broader grain complex is likely to stay rangebound, guided by commercial tone and logistics rather than macro conviction. Until spreads begin to pay full carry or basis shows visible erosion, the market continues to signal that supply comfort exists more on paper than in execution.

Ethanol for America Act

The major barrier to a higher Renewable Fuel Standard (RFS) is the fuel versus food debate. Now is the perfect time to move to E15. Corn prices are extremely low, and the latest USDA *WASDE* reported a record crop and a record crop expansion.

USDA *WASDE* forecast corn production at 16.7 billion bushels, with the yield at 188.8 bushels per acre and ending stocks at 2.1 billion. The season-average corn price dropped 30 cents to \$3.90 a bushel. Most importantly, 2025/26 crop year is expected to have 1.8 billion more bushels than 2024/25.

With current ethanol production consuming 5.6 billion bushels, a 10 percent increase in consumption would consume an additional 560 million bushels. The reality is that year around E15 would add approximately 50 million bushels and regulatory streamlining would add another 50 million bushels. At some point over the next ten years, the additional corn consumption could be 2.8 billion bushels minus lower fuel consumption resulting from electric vehicles. The ethanol corn consumption increase is likely to be more of a S curve as new compacity comes online.

With Brazil and the US corn and soybean production increasing, 100 million bushels of ethanol corn consumption will barely move the needle. The ethanol production capacity expansion that would be three to four years from now is when the corn consumption impact to the corn market would be felt.